VAT FLAT RATE SCHEME · HMRC

One fixed percentage of your takings goes to HMRC.

You still charge customers VAT as normal, and HMRC lets you keep the difference.

HOW YOU JOIN

£150,000

You must already be VAT registered and expect taxable turnover — the sales you charge VAT on — of £150,000 or less, excluding VAT.

> Your rate drops by 1% for your first year as a VAT-registered business.

WHO IT DOES NOT HELP

16.5%

On the scheme you stop reclaiming VAT on what you buy. Buy very little and HMRC puts you on 16.5%, which hands back almost all the VAT you charged.

> Nobody can join who left the scheme in the last 12 months, or was in a VAT group in the last 24.

OLA ACCOUNTANCY · LUTON AND BIRMINGHAM

Not sure what percentage your trade is given?

Message us what you do and we will tell you the rate HMRC's table sets for it.

0330 133 1886

General information. For your own business, speak to an accountant.